During the depth of the crisis, fearing a run on their banks, the UK authorities had extended deposit insurance across board to all deposits in the UK banking system. Immediately, there were commentators asking that the Reserve Bank too must embrace such an all-out measure. If we had actually done that, the results would have been counterproductive if not outright harmful. First, the available premium would not have been able to support such a blanket insurance, and the markets were aware of that. If we had glossed over that and announced a blanket cover anyway, that action would have clearly lacked credibility. Besides, any such move would be at odds with what we had been asserting—that our banks and our financial systems were safe and sound. The inconsistency between our walk and talk would have confused the markets; instead of reassuring them, any blanket insurance of the UK type would have scared the public and sown seeds of doubt about the safety of their bank deposits, potentially triggering a run on some vulnerable banks.

Finally, an important lesson from the crisis relates to the imperative of the government and the regulators speaking and acting in unison. It is possible to argue that public disclosure of differences within closed doors of policymaking could actually be helpful in enhancing public understanding on how policy might evolve in the future. For example, a 6–6 vote conveys a different message from a 12–0 vote. During crisis times, though, sending mixed signals to fragile markets can do huge damage. On the other hand, the demonstration of unity of purpose would reassure markets and yield great synergies.

I recall one occasion when the government, the Reserve Bank and SEBI timed their policies to be released shortly before 11 a.m. when the prime minister was scheduled to make a statement on the crisis in the Lok Sabha. That coordinated move—which, for us, was a complicated piece of theatre—was criticized on two counts: first, that the government was trampling on the autonomy of the regulators, and second, on why the Reserve Bank had resorted to a market-moving policy announcement during market hours. This criticism was clearly ill-informed.